

BAA1019 Open Book Exam 2026

Lyten case study

John McGrath

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Introduction

This report is a strategic review of the US battery start-up Lyten's acquisition of key assets of the Swedish battery manufacturer Northvolt, which fell into bankruptcy, and its aims to revive the gigafactory and research lab, as well as the plans to expand into Germany and Canada. This case represents a strategically complex cross-border transition; it highlights the difficulty of scaling battery manufacturing in Europe to compete with the capabilities of Chinese manufacturers. At the same time, Lyten is attempting to reposition its newly acquired assets around different technologies and diversify its production capabilities. This report looks to address three questions. The key strategic issues facing Lyten, the coherence of its internationalisation strategy, and the trade-off it faces between geopolitical alignment and commercial flexibility. The central issue is whether Lyten's business model, technology positioning, and market focus are sufficiently distinct to avoid the pitfalls of Northvolt.

Question 1: Key strategic issues

Lyten is faced with several strategic issues that have to be addressed to ensure they avoid the failures that led to Northvolt's demise.

1.1 Technology Integration and Market Validation

Amongst these are technology integration and market validation. Lyten's core competitive differentiation is its specialisation in lithium-sulphur batteries, which Lyten claims are cheaper to produce and have a higher energy density. The first part of this strategic issue is the integration side with Northvolt's Lithium-ion battery manufacturing plants. The second is validating the commercial capabilities of the less-proven Li-S batteries. While Li-S has proven theoretically promising in lab testing, there have been huge performance differences in industrial production (Zhu et al., 2019). As the manufacturing of Li-S cells for commercial availability has not yet been demonstrated at a gigafactory scale, Lyten is faced with the challenge of validating a distinct technology. They are looking to continue Lithium-ion operations they inherited from Northvolt with their existing customers like Porsche and Scania, while also redirecting their R&D resources towards Li-S commercialisation for drones and data centres. This creates a strategic challenge to balance continuing operations while also looking to achieve long term technological ambitions.

1.2 Acquisition Integration Risk and Organisational Culture

Another key strategic issue they will have to consider is the integration risk posed by their acquisition of Northvolt, whose collapse was driven by a combination of mismanagement, production issues, and geographic overextension into new territories, which led them to lose focus on core operations. Lyten is not just acquiring its key assets; it is also inheriting these operational failures that led to its bankruptcy. According to Bartlett and Ghoshal (1989), one of the most important factors to consider in international management is organisational culture. Cultural misalignment is one of the biggest reasons mergers and acquisitions fail, given that Lyten is planning to rehire much of Northvolt's workforce and executives. The integration will have to consider the values, norms, and management styles that are familiar to them.

1.3 Competitive Threat From Chinese Manufacturers

The large-scale production capacity of Chinese EV battery manufacturers represents a significant competitive threat and constitutes a critical strategic challenge for Lyten. This is a factor that shows an astute level of strategic planning from Lyten, unlike Northvolt, whose stated purpose was a European alternative to Chinese EV battery dominance; Lyten is not facing its Chinese competitors head-on as directly as Northvolt did. Lyten is diversifying beyond EVs, servicing data centres and drones as well, and using its less common lithium-sulphur battery technology. This strategy avoids direct commodity competition in a market where cost leadership is established by the Chinese manufacturers, who benefit from massive economies of scale and established supply chains. This is aligned with Porter's (1980) Generic Strategies Framework; Lyten is pursuing a differentiation focus strategy by concentrating on niche segments using their innovative technology rather than competing directly, as Northvolt did. While this gives them some level of protection, it is dependent on the success of a commercially unproven technology, and the fact remains that they are still in competition with more established players.

1.4 Government and Regulatory Approval

A potential issue Lyten faces is government and regulatory approval concerns. The acquisition is still awaiting government approval from both Sweden and Germany. However, given that the EU recognises battery manufacturing as a strategic technological sector (Europarl, 2025), it is likely that there will be an impetus to ensure this deal is successful in order to continue the operations of Northvolt, who were hailed as Europe's flagship

home-grown battery manufacturer. This approval is not guaranteed, though, and the timeline is uncertain, which will itself pose financial challenges, such as maintaining the idle gigafactory.

1.5 Financial Sustainability

The bankruptcy acts as a warning to Lyten of the strategic issue they are faced with: the company's financial sustainability. Despite having raised more capital than any other private company in Europe, Northvolt still managed to exhaust its financial resources. Although Lyten has raised \$200 million to back its acquisition strategy, it faces substantial financial demands, including restarting the gigafactory, continuing R&D funding for Li-S batteries, and expanding operations into Germany and Canada. The strategic issue they face is managing these targets efficiently and exercising enough caution not to overextend their financial and operational capabilities.

Question 2: Internationalisation strategy: Coherent or Premature?

2.1 Situating Lyten between Uppsala and Born Global

When we examine Lyten's cross-border expansion strategy, we see that their market entry doesn't exactly follow Johanson & Vahlne's (1977) Uppsala model, but also does not match the characteristics of Oviatt & McDougall's (1994) Born Global model either; they are somewhere in between the two. The Uppsala model sets out incremental market entry to reduce the risks associated with regulatory, political or cultural differences. Firms test the waters first through sporadic selling and exporting through intermediaries before making stronger commitments. On the other hand, Born Global demonstrates firms that are international from inception due to structural characteristics of their industry; they skip testing and go straight for high-commitment market entry by doing things like building a factory or buying a local firm. Lyten matches some of the characteristics of the Global Start-up type of International New Ventures; these firms proactively act on opportunities to acquire resources and sell outputs anywhere across the globe.

2.2 Born Global Characteristics and Their Limits

However, Lyten does not share some of the main characteristics that determine a Born Global firm as outlined by Hennart (2014). These firms are international from inception due to a globally scalable business model, and unique firm characteristics that allow them to compete, such as ownership of technological or organisational resources that make international

scalability possible. Lyten does not have these; they are acquiring heavy physical infrastructure across various locations, which is capital-intensive and adds operational complexity to their internationalisation. The other characteristic is low adaptation, while the product works the same, Lyten still faces big adaptation demands with regulatory approval still pending in Sweden and Germany, as these are distinct processes.

2.3 Strategic Necessity of Internationalisation

Lyten's internationalisation strategy reflects Born Global through the speed of its entry and the fact it's hand was forced with a once-in-a-generation distressed acquisition opportunity. The global battery supply chain is geographically specific and highly concentrated. The infrastructure, knowledge and operational relationships needed to manufacture in Europe would have been difficult to obtain if their operations remained in California, so from this point of view, the internationalisation was strategically necessary. The complexity and challenges of foreign integration of operations are more aligned with Uppsala, so it borrows from both.

2.4 Entry Mode Justification: Dunning's OLI Framework

Using Dunning's (1993) OLI framework, we get a better understanding of why acquisition was an appropriate method of international market entry for Lyten. They demonstrate a clear ownership advantage with their Li-S technology, and this gives them the necessary scope to compete internationally. The location advantage explains why, specifically Northvolt and Sweden, the sub-arctic cooling reduces the energy costs of manufacturing. They also have the opportunity to build upon existing relationships with close European EV battery customers like Porsche and Scania, as well as a trained workforce. These can only be accessed through operating in Europe rather than selling in Europe. Finally, the internalisation advantage is the crucial part that highlights why acquisition is necessary. Lyten's proprietary technology is competitively sensitive, so licensing it to a European partner risks leaks to competitors, which we have already identified as its ownership advantage. Combining all these shows that acquisition was not just an option but a strategic necessity for Lyten's internationalisation objectives.

Despite its opportunistic nature and the obvious strategic complexities associated with Lyten's internationalisation through its acquisition of Northvolt, viewed through the lens of OLI, the acquisition appears to follow a purposeful strategy. With the advantages that can be

seen through the framework, it seems as though things fell into place for Lyten rather than an impulsive decision to expand.

2.5 Sequencing and Operational Stability

While the internationalisation strategy appears to be coherent, the sequencing of the expansion is what will determine whether it was premature and lacks operational stability. Sequencing of operations is the biggest vulnerability in Lyten's internationalisation strategy. They are simultaneously trying to restart the manufacturing plant, rehire employees and executives, make deals with Northvolt's existing customers, continue its intended production of Li-S batteries, and plan factory expansion into Germany and Canada. If these objectives are not properly managed, Lyten will likely face the same fate as Northvolt, planning expansion before stabilising core operations.

Looking back to Oviatt & McDougall (1994), the Born Global internationalisation describes how quickly and to what scale a firm enters a foreign market, while Uppsala does this, it also fundamentally describes how firms learn and deepen their commitment over time once their presence is established. Lyten appears to be following Born Global logic at both stages, expanding geographically at pace when it should be focused on operational stability. The revised Uppsala model, Johanson & Vahlne (2009), demonstrates how firms overcome the liability of outsidership through building relationships and networks as well as accumulating local knowledge; these are capabilities that take time to develop and are not simply inherited through acquisition.

Lyten must build these foundations while managing the operational chaos of the distressed assets it acquired. To avoid the mistakes of Northvolt, Lyten must follow Uppsala's staged logic, prioritising depth over scale. This means the manufacturing plant must take sequencing priority, stabilising operations, rebuilding workforce trust, and re-engaging with customers, which will generate the experiential knowledge and stakeholder relationships that the revised Uppsala model identifies as crucial to sustainable internationalisation. Once this deep commitment is established, Lyten can turn its focus to scaling operations in Canada and Germany. This sequencing frames the Born Global logic as what determined the entry, but Uppsala must determine everything that follows.

Question 3: Geopolitical alignment vs. Commercial Flexibility

There is an evident trade-off presented in the case between competing strategic imperatives: the benefits of aligning with state-level geopolitical interests to secure regulatory approval and market access, and the need to retain commercial flexibility necessary to operate as an independent profit-driven enterprise.

3.1 Framing the Trade-Off: National Security as Strategic Positioning

Lyten CEO Dan Cooke, aware of the trade-off, framed the acquisition in geopolitical terms rather than in terms of commercial incentives. He claimed that it is “incredibly important from a national security standpoint, from an energy security standpoint . . . to have local supply chains and local manufacturing.” This claim positions Lyten as an ally to the US and Europe and frames them as an alternative to the current Western dependency on Chinese battery supply chains. This is at a time when energy security and supply chain resilience are top political agendas for governments (Wang et al., 2024). Lyten, as a US firm aligned with political interests, investing in European, US-aligned countries has an advantage that facilitates its investment and may even simplify its regulatory approval (Bhaumik et al., 2025). This sort of advantage would not be afforded to Chinese competitors. If Lyten successfully manages to build this political capital, it will give governments incentives to ensure its success, potentially through regulatory support and subsidy access.

3.2 Geopolitical Alignment as a Barrier to Entry

In the short to medium term, this reliance on state-level support and local supply chains will function as a meaningful barrier to entry. The structural exclusion of Chinese competitors from EU state support is real and cannot be overcome, regardless of their manufacturing capabilities and cost advantages. Although Chinese companies like BYD and CATL control a majority of the global battery production industry and benefit from centralised expertise (Lombardo et al., 2025), they cannot credibly position themselves as national security assets to European countries. This gives Lyten an advantage over its biggest competitors in terms of regulatory approval pathways, industrial subsidies, and political goodwill. According to Frynas, Mellahi, and Pigman (2006) political resources of this kind can generate advantages that secure them competitive positions that competitors will struggle to replicate. These can act as a barrier for a period of time before other firms are able to build the same political capital.

3.3 Conditionality of the Barrier

This barrier is conditional rather than sustainable; it operates specifically against Chinese competitors in the current geopolitical climate and will only last as long as Lyten continues to align with these geopolitical aims. If a more operationally stable Western competitor that offers the same geopolitical narrative and greater credibility emerges, then Lyten's political capital would cease to function as a barrier. This barrier is only valid if it is backed by a commercially viable operation. Northvolt had similar support, raising more capital than any other private European company, yet it still collapsed when operational failures crept in. Geopolitical alignment will protect Lyten from external competitors, but it will need to back this up with operational credibility.

3.4 Commercial Viability as the Foundation of State Support

Insufficient commercial viability or operational failure undermining state-level support is perfectly illustrated by Northvolt's collapse. According to Näsman et al (2026), they launched several expansion projects and plans across Europe and North America before a single commercial battery cell was ever produced. They shifted managerial focus and capital away from core operations when their consolidation was needed most, and when BMW cancelled their \$2 billion order in 2024 due to production failures, all the political capital and support they had raised were insufficient to absorb the shock. This backs up the sequencing imperative; the window of state support must be used to establish commercial viability before engaging in expansion because once production credibility is lost, like in the case of Northvolt, there is no saving it.

3.5 Institutional Dependency

Despite these dangers, the more serious threat Lyten faces is not that the barrier fails to hold but that its attempts to maintain it and the political alignment erode their strategic autonomy. Lyten risks positioning itself as an instrument of industrial policy. This could lead to governments expecting them to prioritise domestic employment opportunities, local sourcing, energy security mandates, and overall constraints on strategic autonomy. It could be argued that signs of this dynamic are already visible through Lyten's commitment to rehire Northvolt staff, restart the factory, and honour the planned expansion into Germany and Canada. Although each of these is commercially justifiable, they also carry a political obligation and potentially narrow the decisions Lyten can make without damaging the relationships that its market access depends on.

3.6 Constraints of Political Embeddedness

The more Lyten embeds itself in the national security framing, the more it will diminish its ability to target purely commercial interests, such as sourcing cheaper inputs internationally or redirecting capital away from politically sensitive commitments. In Moura et al's (2025) research on how firms respond to geopolitics, they found that political ties can constrain the firm, compelling it to prioritise political alignment rather than commercial interests. This could be what we are seeing in Lyten's apparent inability to make commercially rational decisions, such as deferring the expansion into Germany. What seems a strategically astute choice to align with government interests can potentially become a constraint on future flexibility.

Conclusion: A Temporary Moat Requiring Commercial Credibility

Lyten's geopolitical alignment can be a genuine barrier in the short to medium term, specifically against the threat of Chinese battery manufacturers competing in Europe. It could afford them accelerated regulatory approval and support, and create stakeholder loyalty from governments that are politically invested in its success. However, it is not a sustainable long-term competitive moat and requires Lyten to achieve operational stability within the window of political support. Simultaneously, Lyten are creating the conditions for institutional dependency; these two outcomes are not mutually exclusive, they are occurring in parallel, but the balance between them will be determined by Lyten's ability to demonstrate commercial viability through production yields, signed customer contracts, and a credible path to profitability before the geopolitical landscape shifts or another domestic competitor shows more promise.

Conclusion

Lyten's acquisition of Northvolt's assets is a strategically complex cross-border transaction in the battery manufacturing industry. Despite its vulnerabilities, it demonstrates strategic coherence. Simultaneously, Lyten must commercially validate an unproven technology while maintaining the inherited operations, pursue their expansion policy, but balanced with the need for operational stability, and leverage their state-support to consolidate their position without conceding operational autonomy. Using the OLI model, we can see the strategic necessity of the acquisition despite its opportunistic nature; however, despite its rapid entry, it will require a more staged and considered approach to operations now that it has its foot in the door. Another complexity that Lyten must carefully navigate is the trade-off between

continued state support acting as a barrier to entry, which requires geopolitical alignment from Lyten with European governments, and institutional dependency that will limit its strategic freedom. The challenge is navigating these simultaneously; are they able to sequence their operations so as not to be stretched out on too many tasks at the same time, and can they prove operational credibility before the window of support closes and leaves them open to the same fate as Northvolt?

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Appendix A: Generative AI Declaration Statement

Declaration Statement Please tick the appropriate box relating to your use of Gen AI tools for module Business Strategy (BAA1019)

A. ☐ I did not use any Gen AI tools (including for editing and proofreading) in the completion of this assignment

B. ☐ I did use Gen AI tools in the completion of this assignment.

Signature: John McGrath

Date: 09/04/2026

Appendix B – Template for Reporting of Gen AI Tool Use in Assignments

Tools: ChatGPT, GPT 5.2 Instant, used between 26/03/2026 and 09/04/2026

Outputs: AI was used to help structure and format the report, as well as provide suggestions for references that would be suitable. I also uploaded the case study and questions to ChatGPT, as well as what I had written for each question and asked it to help develop my analysis and determine if I was addressing each question appropriately.

Prompts: Examples of the prompts I used include: "find me a reference that talks about the commercial readiness of Li-S batteries"

"Given the report I have written, provide suitable headings for each section"

“Does this section appropriately address this part of the question, and what aspects am I missing or should I include to further my analysis”

“What order should I follow to address each of the points made for the answer to this question”

Iterations: all of the prompts used followed a similar structure to the examples I listed above to help give coherence and clarity throughout the report, in total I gave about 20 prompts to ChatGPT of this nature.